

Accounting

Financial Statements

Income Statement

- 1.Sales Revenue
- 2.(-) Costs
- 3.(=) Revenue

Balance Sheet

- 1.Assets
- 2.(-) Liability
- 3.(=) Equity

Cash Flow Statement

- 1.CF - operating activities
- 2.CF - investing activities
- 3.CF – Financing activities

Finance is as simple as 1, 2 & 3.

Confidential | All rights reserved Cesim Oy

Balance Sheet

Sample Balance Sheet - Game

	Green	Red	Blue	Orange
ASSETS				
Fixed assets	7,15,275	7,15,275	7,15,275	7,15,275
Inventory	67,606	94,836	1,83,505	6,558
Receivables	46,048	53,580	52,918	58,404
Cash and cash equivalents	7,05,369	5,92,682	4,90,813	7,32,952
Total assets	15,34,298	14,56,372	14,42,511	15,13,189
SHAREHOLDERS' EQUITY AND LIABILITIES				
Equity				
Share capital	3,40,000	3,40,000	3,40,000	3,40,000
Additional paid-in capital	0	0	0	0
Profit for the round	3,24,578	2,39,983	2,34,137	2,95,441
Retained earnings	3,39,774	3,39,774	3,39,774	3,39,774
Total equity	10,04,352	9,19,757	9,13,912	9,75,216
Liabilities				
Long-term loans	5,09,789	5,09,789	5,09,789	5,09,789
Short term loans (unplanned)	0	0	0	0
Payables	20,156	26,826	18,810	28,184
Total liabilities	5,29,945	5,36,615	5,28,599	5,37,973
Total shareholders' equity and liabilities	15,34,298	14,56,372	14,42,511	15,13,189

Balance Sheet

Balance Sheet

- Financial Position of any business at a specific point in time (Always be a date associated)

Key Components

- Assets
- Liabilities
- Shareholders Equity



The accounting equation is considered to be the foundation of the double-entry accounting system

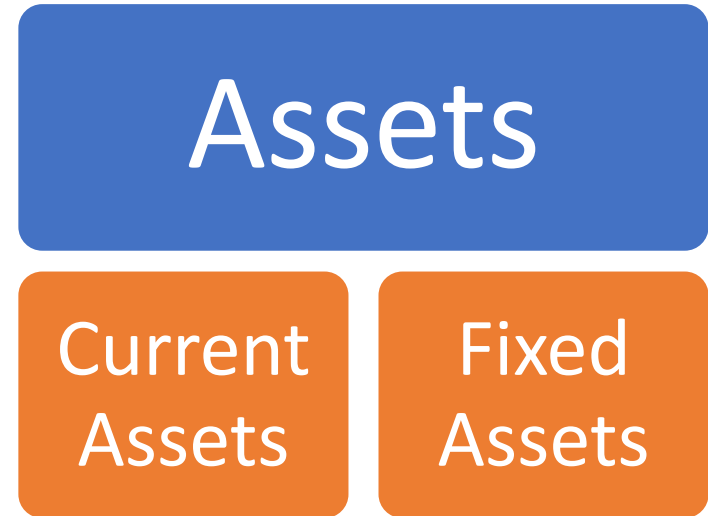
Why Double Entry?

As this says us how your assets are financed from liability or equity.

Balance Sheet - Assets

Assets:

- An asset is a resource with economic value which is owned by an individual, country or a corporate with an expectation that it will provide you the future benefits
- Assets are reported on company's balance sheet and are bought or created to increase a firm's value or benefit the firm's operation
- An asset can be thought of as something that, in the future, can generate cash flow, reduce expenses or improve sales, regardless of whether it's manufacturing equipment or a patent.

A hierarchical diagram showing 'Assets' at the top in a blue box, with 'Current Assets' and 'Fixed Assets' below it in orange boxes.

Assets

Current
Assets

Fixed
Assets

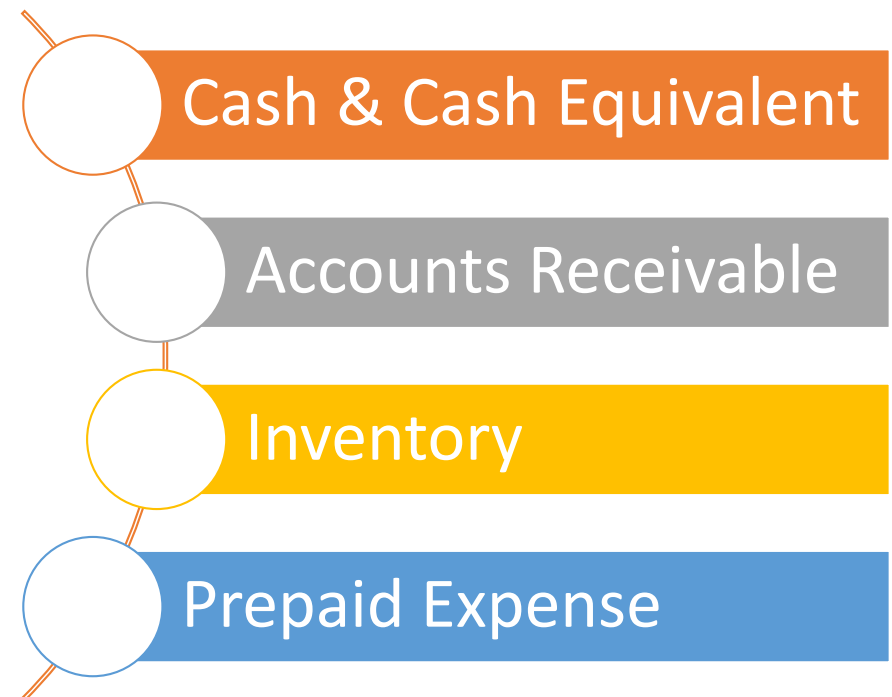
Balance Sheet – Current Assets

Current Assets

- Short term economic resources that are expected to be converted into cash within one year.

Current Assets Include

- Cash and Cash equivalent
- Accounts Receivable
- Inventory
- Various Prepaid Expenses



Balance Sheet – Current Assets

Cash & Cash Equivalent

- This is most liquid current assets like commercial papers, treasury bills, and short-term government bonds with a maturity date of three months. In game it is the number calculated from cash flow statement.

Accounts Receivable

- The balance of money due to a firm for goods and services provided to customer and not yet paid. In short it is a credit provided to a customer

Inventory

- A stock of goods and material that a company holds or not able to sell in the current year. The company would hold this goods due to contingency plan or demand error.

Prepaid Expense

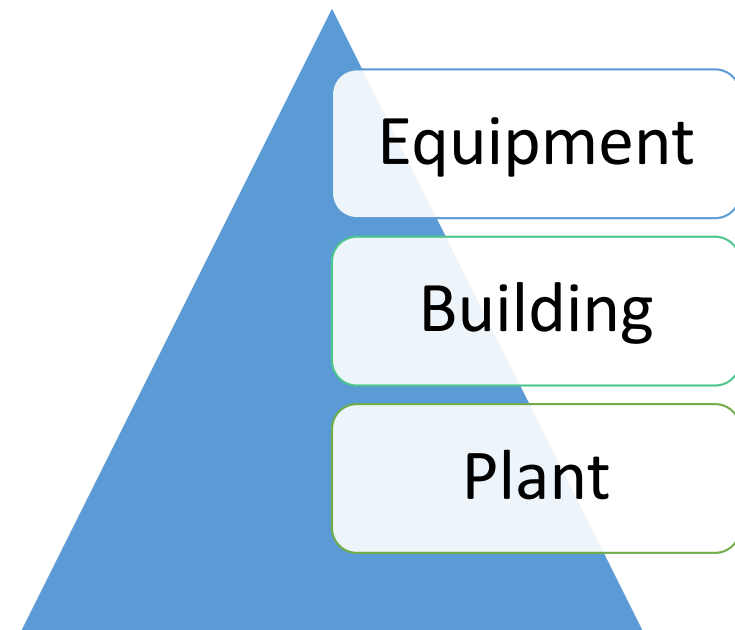
- The future expenses for which a company paid money in advance. As soon as service is realized for this expense it is taken off from balance sheet.



Balance Sheet – Fixed Assets

Fixed Assets

- Fixed assets are the long term resources, such as plants, equipment, and buildings.
- As they are long term so balance sheet contains the aging value of the asset which is calculated by depreciation.
- Depreciation of assets can be calculated by two methods one is straight line and other is accelerated method



Balance Sheet - Depreciation

Straight line method

- Suppose you have a plant whose investment value is Rs. 8000000 for a life of 20 years then you will see an amount of Rs. 400000 each year deducted in balance sheet till 20 years when its accounting value would be zero. Hence Rs. 7600000 in 1st year, 7200000 in 2nd year so on...

Accelerated Method

- For same example suppose you believe that plant would be used more in initial year so it should depreciated 10% for 2 years and then 5% till its accounting value is zero. So first 2 years in balance sheet you will find a deduction of Rs. 800000 and value of asset be Rs. 7200000 in 1st year, 6400000 in 2nd year, 6000000 in 3rd year and so on...

Notes: Depreciation is an accounting method which is used to represent true value of assets but market value at time of selling the asset may differ.

Balance Sheet - Liabilities

Liabilities

- A liability is something a person or company owes, usually a sum of money.
- A liability is settled over time through transfer of economic benefits including money or service.
- A liability can also mean a legal risk or obligation. Taking a loan from bank requires to pay them interest and principal
- Liabilities are put opposite to assets to find out the financing done.

Liabilities

Current
Liability

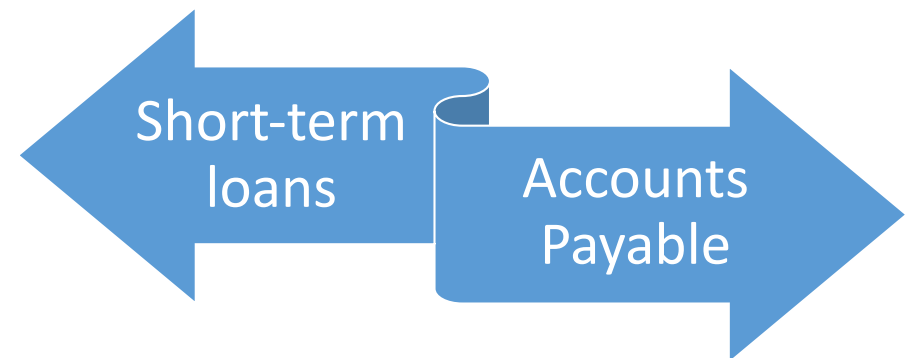
Long-term
liability

Balance Sheet – Current Liabilities

Current liability are company's short-term financial obligations that are due within one year or within a normal operating cycle. Accounts payable is one such type of liability which will be found in every company balance sheet

Accounts Payable

- Amount due to vendor or supplier for goods or service received that have not yet been paid for. In short it is credit period a business receive from its supplier or vendor which provides raw material

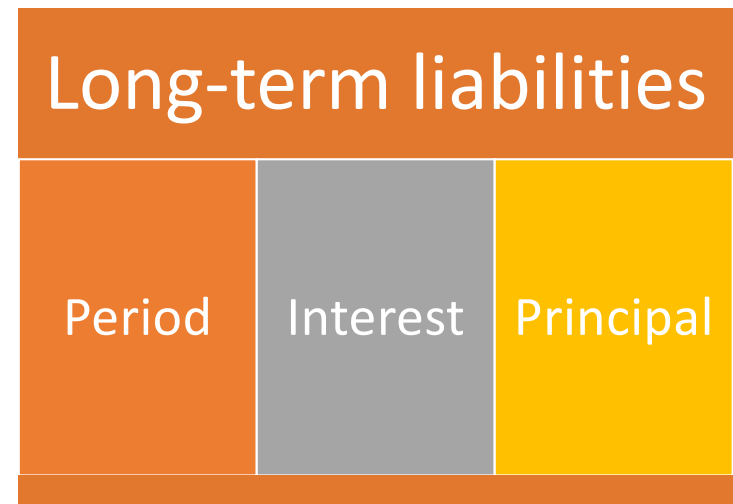


Note: Short term liability in game is emergency funds borrowed from bank which has to be paid in a year period with highest interest rate.

Balance Sheet – Long Term Liabilities

Long term liabilities are debts payable over a longer period of time.

- For example, if a business takes out a loan payable over a 15-year period, that is a long-term liability.
- However, the interest and principal payments that are due during the current year are considered the current portion of long-term debt and are recorded in the short-term liabilities section of the balance sheet.
- Interest rate on long term liability is less than the short term liability.



Balance Sheet - Equity

Equity

- Equity represents the value that would be returned to a company's shareholder/owner if all the assets were liquidated(converted to cash) and all of the company's debt is paid off.
- Equity can also be think of as an degree of ownership of firm after subtracting all debts associated with the asset
- Equity represents the shareholder stake in the company
- Equity can be calculated from Total Assets – Total Liabilities.

Share Capital

Additional
Paid in Capital

Retained
Earning

Profit for the
year

Balance Sheet - Equity

Share Capital

- It is a portion of equity that has been obtained by the issue of shares in the corporation to shareholder, usually for the cash.

Additional Paid-in Capital

- When an investor buys newly issued share directly from the company at time of its "Initial Public Offering" from stock exchange paying value above face value of share is additional paid-in capital.
- For example, face value of a share is Rs. 10 and investor is willing to pay Rs. 40 for the share then Rs. 30 is additional paid-in capital.

Retained Earning

- It is the accumulated profit of the corporation that is retained by the corporation at particular period of time.
- $\text{Retained Earning} = \text{Retained Earning at beginning of year} + \text{Net Income} - \text{Dividend paid to shareholder}$

Profit/Net Income

- Net income is any entity sales revenue minus all expenses. This will be discussed in detail in Income statement



Dividend: It is distribution of profits by a corporation to its shareholder.

Balance Sheet – Other Information

Intangible Assets

- It is an asset that is not physical in nature. It usually consists of brand value, goodwill, patents etc. and is realized only at time of acquisitions.

Historical Price

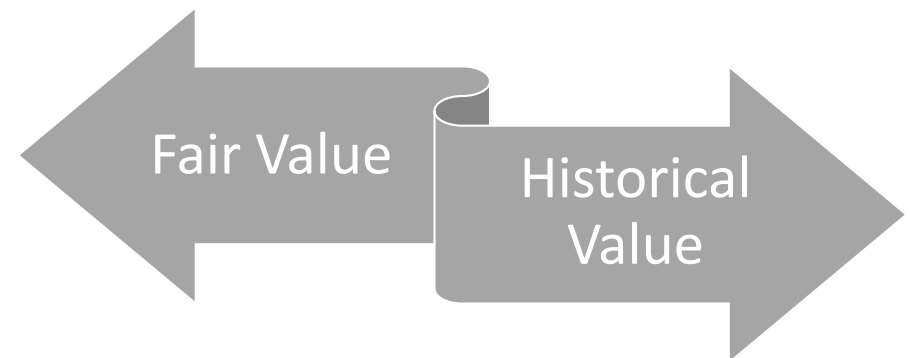
- The value or money paid up when buying the asset at particular time. It is most used in case of land and other fixed asset.

Fair Price

- The potential market value of any assets, goods or service.

Capital Structure

- Combination of debt and equity for a company to manage its finances.



Income Statement

Income Statement Sample - Game

	Green	Red	Blue	Orange
Sales revenue	11,96,044	13,91,676	13,74,501	15,16,979
Costs and expenses				
Variable production costs	3,80,008	4,65,993	2,95,546	4,77,274
Feature costs	58,737	1,08,630	54,021	1,49,814
Contract manufacturing costs	564	17,149	74,604	564
Transportation and tariffs	84,230	1,05,014	64,412	1,04,411
R&D	0	1,05,000	2,15,000	1,10,000
Promotion	29,180	25,000	1,02,000	47,000
Administration	99,621	99,810	1,00,566	99,130
Costs and expenses total	6,52,340	9,26,596	9,06,148	9,88,194
OPERATING PROFIT BEFORE DEPR. (EBITDA)	5,43,704	4,65,081	4,68,353	5,28,785
Depreciation from fixed assets	1,26,225	1,26,225	1,26,225	1,26,225
OPERATING PROFIT (EBIT)	4,17,479	3,38,856	3,42,128	4,02,560
Net financing expenses	7,909	9,272	11,420	7,623
PROFIT BEFORE TAXES	4,09,570	3,29,584	3,30,708	3,94,937
Income taxes	84,992	89,601	96,571	99,496
PROFIT FOR THE ROUND	3,24,578	2,39,983	2,34,137	2,95,441

Sales Revenue – Income Statement

- It is the income received by company from its sales of goods or the provision of services
- Sales revenue is been calculated by multiplying prices with volume.
- Volume of goods sold depends on your price, advertising, features, economic condition and production.



Cost & Expenses – Income Statement

Variable Production Costs

- It is a constant amount per unit produced.
- As production volume increases variable production cost goes down vice versa is true as well.
- This cost includes raw material, production employee wages, efficiency of plants etc....

Contract Manufacturing Cost

- It is the cost taken by the outsourcing company who produces goods for your entity depending on your contract.
- The cost depends on economic condition, profitability of outsourcing company and relation with company.

Transportation & Tariff

- Logistics cost of transferring the goods from one country to another or within country at specific address.

Cost of goods sold

Variable Cost

Outsourcing
Cost

Transportation
& Priority

Cost & Expenses – Income Statement

R&D and Feature Cost

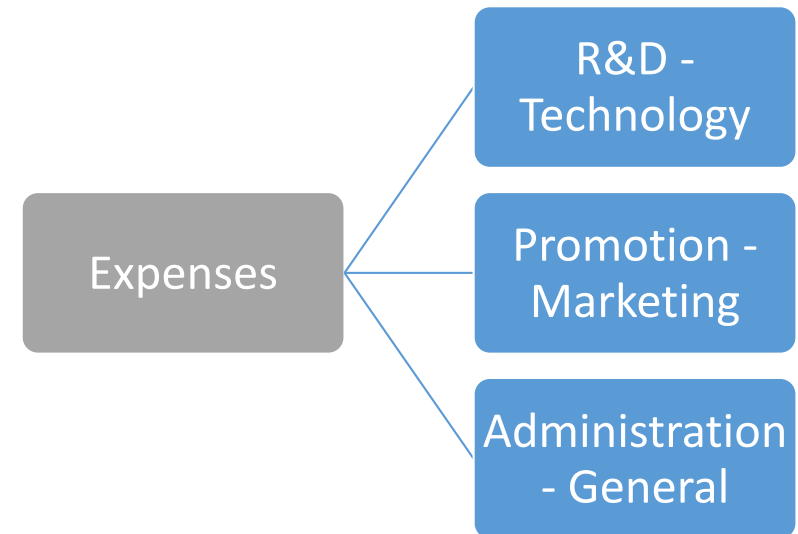
- The cost of developing new technology or features for the product.
- This cost includes buying out new technology from external resource or producing inhouse.

Promotion Cost

- The cost of advertising the products in different region to increase sales.

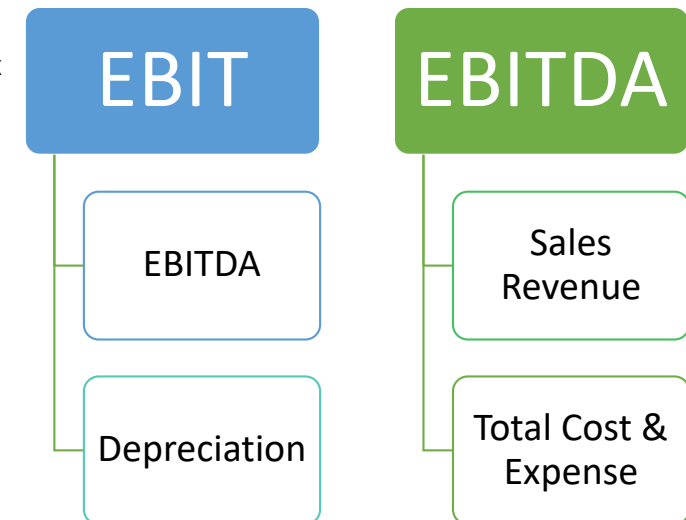
Administration Cost

- This expenses are not directly tied to any function such as manufacturing or marketing but are whole organization related.
- For example, this expense includes office supplies, subscription etc.



Operating Profit – Income Statement

- Operating profit is a company's total earnings from its core business operations, excluding the deduction of interest and taxes.
- It is also referred to as operating income, as well as earnings before interest and tax (EBIT).
- $EBIT = EBITDA - \text{Depreciation}$
- EBITDA is operating profit before depreciation and amortization, used to measure performance of business from core activities.
- $EBITDA = \text{Sales Revenue} - \text{Total Cost \& Expenses}$
- Depreciation is same as explained in balance sheet but the value in income statement is deducted amount. For example Rs. 8000000 depreciated over 20 years would be Rs. 400000 worth value of fixed asset deducted from income statement.



Profit – Income Statement

Profit Before Tax - PBT

- A financial gain from the difference between amount earned and amount spent while producing, buying or operating something.
- It is amount before any tax is paid to government.
- $PBT = EBIT - \text{Net Financing Expense}$

Net Financing Expense

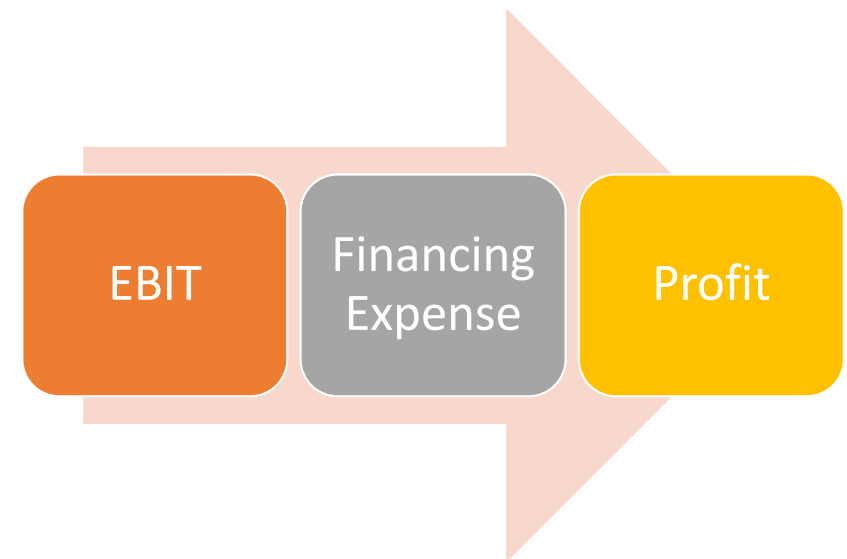
- It is the amount of interest you have to pay to lending institution when you take a long term loan or emergency funding is generated in case of not maintaining minimum cash balance.

Income Tax

- Amount of tax paid to Government agency.

Profit for the year

- Financial gain calculated after deducting Income tax from the PBT.



Income Statement – General Format

Revenue	
-Cost of goods sold	⇒ Cost of Goods Sold =
=Gross Profit	Variable Production Cost
-Marketing Expense	+ Contract Manufacturing Cost
-Overhead Cost	+ Transportation & Tariff
=EBITDA	
-Depreciation & Amortization	
=EBIT	
+/- Financing Income/Expense	
=PBT	
-Taxation	
=PAT	→ This goes into balance sheet as profit of the year in equity section.

Cash Flow Statement

Cash Flow Sample Statement - Game

	Green	Red	Blue	Orange
Cash provided by operating activities				
Operating profit before depreciation (EBITDA)	1,15,478	15,445	30,452	42,977
Change in receivables (incr - / decr +)	1,493	508	-5,926	-1,578
Change in inventories (incr - / decr +)	-17,353	-44,583	-1,33,251	43,695
Change in payables (incr + / decr -)	-6,364	-2,076	-6,645	-1,864
Net financing expenses	-16,804	-18,373	-19,445	-16,931
Income taxes	0	0	0	0
Total	76,450	-49,080	-1,34,816	66,299
Cash provided by investment activities				
Plant investments	0	0	0	0
Cash flow before financing activities	76,450	-49,080	-1,34,816	66,299
Cash provided by financing activities				
Change in long-term debt (incr + / decr -)	0	0	0	0
Change in short-term debt (incr + / decr -)	0	0	0	0
Change in internal loans	0	0	0	0
Total	0	0	0	0
Change in cash and cash equivalents	76,450	-49,080	-1,34,816	66,299
Cash 1.1.	1,41,968	1,41,968	1,41,968	1,41,968
Cash 31.12.	2,18,418	92,889	7,152	2,08,267

Operating Activities – Cash Flow

- Cash flow from operating activities (CFO) indicates the amount of money a company brings in from its ongoing, regular business activities, such as manufacturing and selling goods or providing a service to customers.
- Cash flow from operating activities is an important benchmark to determine the financial success of a company's core business activities.
- Cash flow from operating activities is the first section depicted on a cash flow statement, which also includes cash from investing and financing activities.

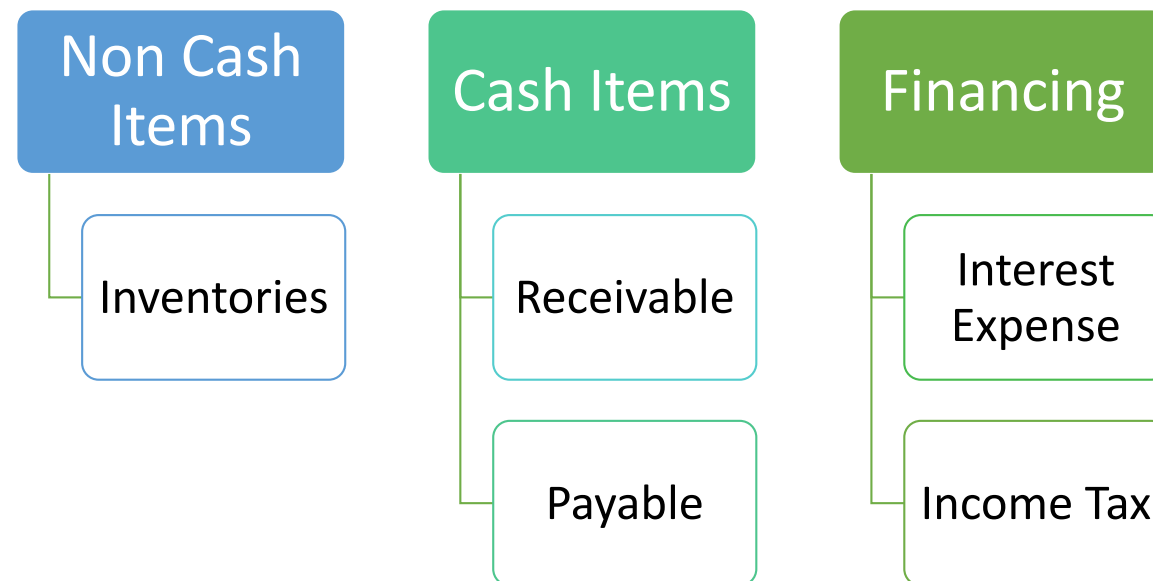
Cash Flow

Direct
Method

Indirect
Method

Note: We will use indirect method to calculate the cash flow from operations.

Operating Activities – Cash Flow



The indirect method begins with EBITDA from the income statement then adds back noncash, cash and financial items to arrive at a cash basis figure.

Operating Activities – Cash Flow

Only Rule

- For any item if it depicts cash coming into entity from previous year it makes positive effect on cash flow statement other wise negative effect

Change in Receivable

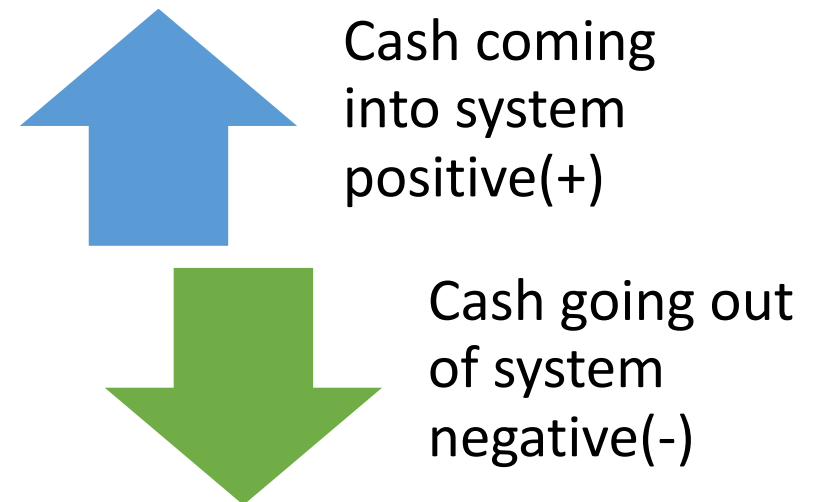
- If receivable increases than previous year then cash goes out hence negative and vice versa

Change in payable

- If payable increases than previous year then cash comes in hence positive and vice versa

Change in inventory

- If inventory increases than previous year then cash goes out hence negative and vice versa



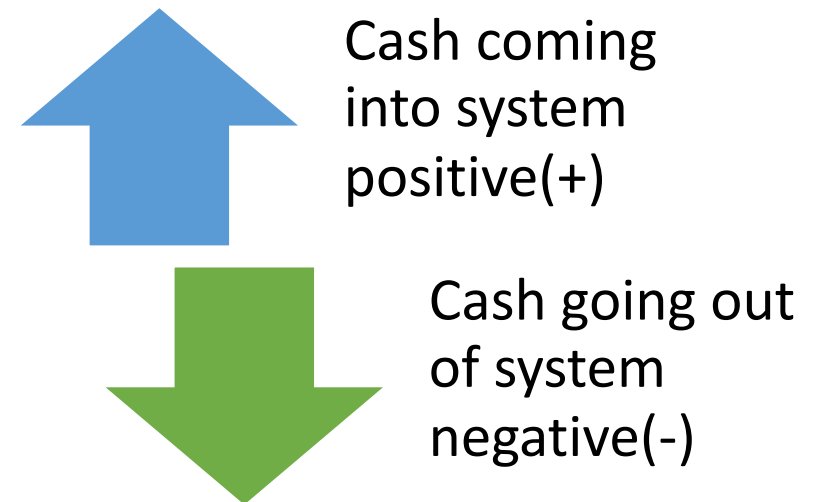
Operating Activities – Cash Flow

Net Financing Expense

- If interest amount increase from previous year then cash is going out and will have negative effect otherwise vice versa
- Interest amount can increase due to bank rate of interest or new loan.

Income Tax

- If tax amount increase from previous year then cash is going out and will have negative effect otherwise vice versa
- Tax increase due to corporate rate of tax or increase in PBT due to higher sales or lower cost. Taxation can be managed through internal transfer of cash as well.



Operating Activities – Cash Flow

Operating Cash Flow =

EBITDA

+ Changes in inventories, receivable, payable

+ Net Financing Expense

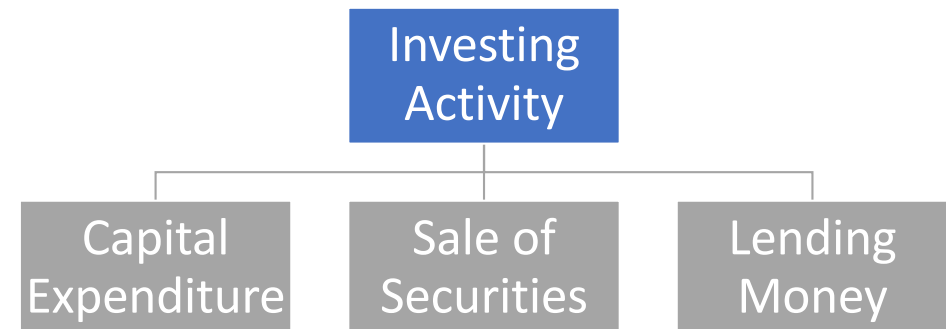
+ Income Tax

Investing Activities – Cash Flow

Cash flow from investing activities is the cash that has been generated (or spent) on fixed assets that are intended to produce a profit in the future.

Plants & Machine – Capital expenditure

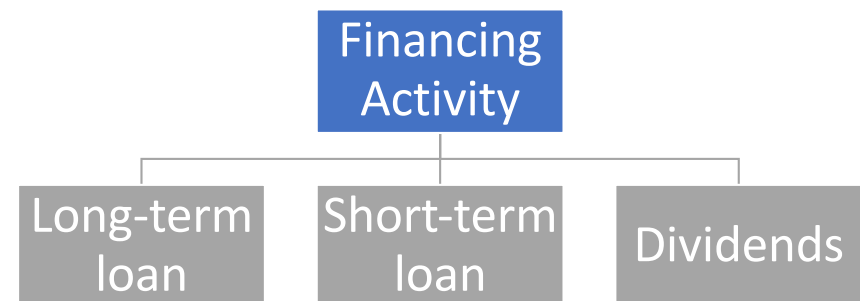
- Buying out a plant or machine or any capital expenditure will decrease cash in system and hence negative impact on cash flow. Selling out has a opposite effect.



Financing Activities – Cash Flow

Cash flow from financing activities is a section of a company's cash flow statement, which shows the net flows of cash that are used to fund the company.

Cash flow from financing activities provides investors with insight into a company's financial strength and how well a company's capital structure is managed.



Long-term & Short-term loan

- Taking a loan from a bank is cash coming into the entity and has positive impact on cash flow otherwise paying a loan has opposite effect.

Cash Flow Statement

Cash at end of year=

Cash at beginning of year

+ Cash flow from operating activity

+ Cash flow from Investing activity

+ Cash flow from Financing activity

This goes into balance sheet as Cash & Cash Equivalents in current assets.